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Subject: 2214-4CONWORLD

Pros and Cons of Transnational and Multinational Corporations and the Integration of the Philippines into the Global Economy

What are Transnational Corporations (TNCs) and Multinational Corporations (MNCs)? TNCs and MNCs are corporations that operate manufacturing or services in different countries in order to take advantage of their differences in cost of labor, resources, market situations, and regulations. Regarding the development economy of the Philippines, there are many advantages and disadvantages associated with these organizations. MNCs have greatly sped up the Philippines' integration into global production networks. At the same time, it has shown the structural weaknesses that limit the development of the country.

The positive of MNCs and TNCs. Among the many strengths that MNCs offer, perhaps the most important is the inflow of capital, which local economies have difficulty generating on their own. There are various types of foreign businesses operating in different sectors and capacities. For instance, within a single month of 2025, foreign investors were granted ₱4.575 billion worth of investments, both in new and expansion projects, according to the Philippine Economic Zone Authority (PEZA). This investment is expected to create over 9,000 jobs and generate $300 million in exports. Such firms include Foundever, an information technology firm based throughout the IT parks of the country, and Superl Philippines, a leather-goods manufacturing company operating in the province of Pampanga, providing employment to tens of thousands of Filipino workers as well as billions of pesos worth of investments (Philippine Economic Zone Authority, 2025). In addition to the jobs and capital, the transfer of skills and standards is another advantage of having MNCs in any particular place. Workers equipped with international standards of quality control, logistics, and software development will eventually increase their productive capabilities in the local labor market.

However, these benefits come with significant costs. A part of the value produced never becomes domestic capital because overseas companies frequently transfer their profits rather than reinvesting them within the country. The tax discounts and other incentives that governments provide to attract foreign investment should be compared to the employment and export possibilities that are created in order to determine how much tax revenue is lost (U.S. Department of State, 2025). Furthermore, the country's net foreign direct investment inflow decreased by roughly 17% in 2025 compared to the previous year and by nearly 40% in early 2026 compared to the same period in 2025 due to growing geopolitical risks, demonstrating the inherent risk of relying on such investment (Philippines Foreign Direct Investment, 2026). An economy that depends significantly on foreign investment is vulnerable to changes in

international confidence that are unrelated to domestic circumstances. Other issues that are well-known from the larger literature on MNCs include the risk that flexible capital will relocate as soon as a more affordable location becomes available, limited backward connections to local suppliers when businesses import the majority of their inputs, and downward pressure on wages and labor standards as nations compete for investment.

The involvement of MNCs or TNCs is vital in the integration of the Philippines into the international economy. MNCs remain the primary means of integrating the Philippines into the global economy despite all the downsides. PEZA-controlled zones serve as crucial centers in international supply chains, hosting advanced manufacturing facilities, electronics and semiconductor production sites, and components for renewable energy. These zones produce goods for both domestic markets and international consumers, including foreign-based parent companies, thereby facilitating the Philippines direct integration into regional and global production systems (Tribune, 2025). In the context of services, the business process outsourcing sector is relevant. Organizations such as PEZA and the Board of Investments are designed to attract and keep foreign investors while reform initiatives such as the CREATE MORE Act are made to keep the country competitive relative to its Southeast Asian competitors for attracting the same mobile capital (U.S. Department of State, 2025; PEZA, 2025). The organization has approved investments of around ₱261 billion in 2025 alone. Foreign investors, mostly in manufacturing businesses, include South Korea, Singapore, Japan, and the Cayman Islands (Zapanta, 2025). Each one of these investments is another connection between a local area in the Philippines and a global production or service chain due to either export requirements, technological standardization, or similar international business cycles experienced by the company itself in other places.

In conclusion, rather than being absolutely good or bad, MNCs and TNCs should be considered as a two-sided tool for development. MNCs and TNCs are the Philippines' closest contact point for international manufacturing and services networks, since they offer capital, employment, and technology that the Philippines finds it extremely hard to develop within its own economy. However, because of incentives and sensitivity to the demands of global capital flows, which local governments cannot fully control, they are holders of the threat of revenue and profit loss. Thus, what the Philippines needs to do is not to pick for openness versus protectionism but to build institutions and incentive frameworks that turn foreign capital's temporary presence into local competence.

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